INVESTOR FEASIBILITY PRESENTATION

Prepared May 18, 2026

3325 Banks Rd rent scenario market analysis

Market support for the Base Co-Living / Medium-Term, One Floor STR + Co-Living, and Whole Building STR rent scenarios in the STR workbook.

Base Co-Living / Medium-Term

144,000

Stabilized annual gross rent, equal to 12,000 per month.

One Floor STR + One Floor Co-Living

173,400

Stabilized annual gross rent, equal to 14,450 per month.

Whole Building STR

183,040

Stabilized annual gross rent, equal to 15,253 per month.

Conclusion: the base case is supported by local apartment, furnished, student, and workforce housing data. The STR cases are upside cases, priced for group lodging and tested with occupancy, platform, and turnover deductions.

Executive summary

Scenario	Year 1 gross rent	Stabilized gross rent	Primary support
Base Co-Living / Medium-Term	105,600 per year 8,800 per month	144,000 per year 12,000 per month	4 premium suites and 4 co-living suites priced within Raleigh/Fuquay apartment and furnished-room economics.
One Floor STR + One Floor Co-Living	95,440 per year 7,953 per month	173,400 per year 14,450 per month	One floor remains stable residential income; one floor captures weekly group lodging demand.
Whole Building STR	70,798 per year 5,900 per month	183,040 per year 15,253 per month	Highest upside, but requires booking validation and stronger operations.

Investor framing

This is not a single-purpose short-term rental bet. It is a flexible residential operating platform with three monetization paths.

The base case should remain the control case until STR bookings are proven.

Feasibility logic

The project competes on private baths, furnished delivery, flexible terms, shared amenities, and the ability to rent by suite, floor, or building.

That flexibility matters because new apartment supply has pressured Raleigh-area rents.

Market evidence

Market indicator	Current evidence	Relevance to project
Raleigh apartment rents	May 2026 average rents: 1,297 studio, 1,385 one-bedroom, 1,627 two-bedroom, 1,898 three-bedroom.	Premium suites at 1,350 to 1,750 are bracketed by local one-bedroom pricing while offering furnished/private-bath utility.
Fuquay-Varina / south Wake context	Fuquay-Varina average rent reported around 1,363 per month; nearby Apex, Cary, Holly Springs, Garner, and Morrisville generally range from about 1,400 to 1,580.	The project is not priced as downtown Raleigh luxury inventory. It sits in a south Wake value corridor.
Flexible rental market	PadMapper May 2026 Raleigh medians: 1,100 studio, 1,275 one-bedroom, 1,539 two-bedroom, 1,945 three-bedroom, 2,350 four-bedroom.	The project can offer furnished, flexible housing below the cost of replacing the building with multiple conventional apartments.
Furnished monthly demand	Furnished Finder shows hundreds of Raleigh monthly rental results and positions the product around traveling professionals and monthly stays.	Supports medium-term demand from healthcare workers, relocations, contractors, and traveling professionals.
Student / graduate housing	NC State projected 2026/2027 semester costs include 4,600 for singles and 5,375 for 1BR/studio units.	Co-living rooms at 850 to 1,250 per month remain relevant to graduate/student affordability.

Market sources are listed at the end of this PDF.

Scenario 1: Base Co-Living / Medium-Term

Rent case	Premium suites	Co-living suites	Monthly gross rent	Annual gross rent
Low / Year 1	1,350 x 4	850 x 4	8,800	105,600
Medium / Year 2	1,600 x 4	1,100 x 4	10,800	129,600
High / Year 3+	1,750 x 4	1,250 x 4	12,000	144,000

Why the premium rents are supportable

The premium suites are not ordinary bedrooms. Each has private bedroom, private bathroom, kitchenette, and storage.

At 1,350 to 1,750, they sit inside the Raleigh/Fuquay one-bedroom rent universe, with a furnished and flexible-use premium.

Why the co-living rents are supportable

The co-living rooms remain below standalone apartment replacement cost and closer to student/workforce shared-housing economics.

The 1,250 high case is still near or below Raleigh one-bedroom medians while providing private bath utility.

Investor takeaway: this scenario does not require STR execution. It is the stabilizing fallback case and should remain the underwriting anchor.

Scenario 2: One Floor STR + One Floor Co-Living

Rent case	STR weekly rent	STR occupancy	Other floor annual rent	Annual gross rent
Low / Year 1	2,500	40%	52,800	95,440
Medium / Year 2	3,250	50%	64,800	133,895
High / Year 3+	4,000	60%	72,000	173,400

Formula logic: STR floor revenue equals weekly rent x 52 weeks x occupancy, less the STR platform/lodging cost ratio and turnover cost per occupied week, plus the annual rent from the other floor.

Market logic: the stabilized 4,000 weekly rent is roughly 571 per night before occupancy and deductions. For a full-floor lodging product with multiple private suites and shared kitchen/living space, this is a practical group-lodging rate, not a luxury-vacation-home assumption.

> **Investor takeaway:** this is the strongest risk-balanced STR option because it preserves one floor of recurring residential income while testing weekly lodging demand on the other floor.

Scenario 3: Whole Building STR

Rent case	Weekly rent	Occupancy	Annual gross rent	Effective monthly gross
Low / Year 1	4,500	35%	70,798	5,900
Medium / Year 2	6,000	45%	120,744	10,062
High / Year 3+	7,500	55%	183,040	15,253

Formula logic: full-building STR revenue equals weekly building rent x 52 weeks x occupancy, less platform/lodging cost ratio and turnover cost per occupied week. The model does not assume 100% occupancy and does not ignore STR operating leakage.

Market logic: the stabilized 7,500 weekly whole-building rate equals about 1,071 per night before occupancy and deductions. For a 6,000 SF furnished building with 8 private suite-style rooms, this is an institutional/group lodging thesis.

Investor takeaway: this is the highest-upside scenario, but it should remain optionality until booking data and local regulatory treatment are confirmed.

Feasibility conclusion

Question	Answer
Are the base residential rents supportable?	Yes. The premium suite rents are near Raleigh/Fuquay one-bedroom pricing, while co-living rooms remain below private apartment replacement cost.
Is the medium-term furnished thesis supportable?	Yes, but execution matters. The product should be marketed to traveling professionals, healthcare workers, relocations, graduate students, and project workers.
Are STR assumptions supportable?	Potentially. Weekly rates are plausible for full-floor or full-building group lodging, but they need booking validation before becoming the controlling case.
Which case should investors underwrite first?	Base co-living / medium-term should be the control case. One-floor STR is the preferred upside test. Whole-building STR should remain a strategic option.
What is the main investor protection?	Operational flexibility. If STR performance is weak, the building can revert to co-living / furnished medium-term rental use.

Recommended investor framing: STR income is upside, not the only path to feasibility. The project's value comes from a flexible building program that can serve residential, furnished monthly, and group-stay demand.

Risks and validation steps

Risk	Why it matters	Mitigation
STR regulation and permitting	Short-term rental rules and jurisdictional treatment must be confirmed for this exact site and use.	Confirm Wake County and any applicable municipal treatment before relying on STR income.
Seasonality and booking volatility	Weekly lodging revenue is less stable than residential leases.	Use the base co-living case as the control case and test STR with one floor before full conversion.
Operating intensity	STR requires cleaning, turnover, pricing, guest communication, damage control, and platform management.	Keep explicit platform/turnover deductions and use professional operating procedures.
Apartment supply pressure	New apartment supply can reduce rent growth and create concessions.	Compete through private baths, furnished delivery, flexible terms, and all-in simplicity.
Financing and valuation	Lenders may value residential lease income differently from STR income.	Show base residential NOI separately from STR upside when approaching refinance sources.

Next validation step: run a live comp set for one-floor and whole-building STR listings within the south Wake / Raleigh / Fuquay corridor before adopting STR as the controlling case.

Sources reviewed

Apartments.com Raleigh Area Guide, May 2026 rent trends: https://www.apartments.com/local-guide/raleigh-nc/

Apartments.com Fuquay-Varina rentals and rental insights: https://www.apartments.com/fuquay-varina-nc/

PadMapper Raleigh short-term apartment rent trends, May 2026: https://www.padmapper.com/apartments/raleigh-nc/short-term

Furnished Finder Raleigh furnished monthly rental listings and market positioning: https://www.furnishedfinder.com/housing/us--nc--raleigh

NC State University Housing projected 2026/2027 costs: https://housing.dasa.ncsu.edu/residential-communities/costs/

AirDNA Raleigh short-term rental market overview: https://www.airdna.co/vacation-rental-data/app/us/north-carolina/raleigh/overview

City of Raleigh Short-Term Rental Application and Checklist: https://cityofraleigh0drupal.blob.core.usgovcloudapi.net/drupal-prod/COR15/ShortTermRentalApplicationandChecklist.pdf

Axios Raleigh rent-market reporting, March 18, 2026: https://www.axios.com/local/raleigh/2026/03/18/raleigh-rents-fell-year-over-year-apartment-construction

Use note: this presentation supports feasibility discussion only. It is not a legal opinion, appraisal, securities offering document, or guaranteed forecast.